



Group Strategy

A three-year plan to compound Mizan into the Kingdom's most-integrated pharma + health platform.

Plan period: FY 2026 – FY 2028 · Today: 1 June 2026

Office of the Chief Executive · Mizan Holding Company B.S.C. (Closed) · Riyadh, Kingdom of Saudi Arabia

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A note from Khalid Al-Rashed

When the Board signed off this plan in January, three numbers anchored the room: a **SAR 10.5 billion revenue run-rate by 2028**, a **23% EBITDA margin**, and a portfolio in which Saudi-Made pharmaceuticals account for **48% of our own manufacturing throughput** — eight points ahead of the Vision 2030 national target.

Those are not aspirational round numbers. They are the compounded outcome of three moves Mizan has been making for the last seven years. First, vertical integration — we manufacture, we distribute, we deliver cold-chain, we retail in physical stores, we deliver to the doorstep online, and we run the digital-health platform that originates many of those prescriptions. Second, specialty + cold-chain. The fastest-growing therapeutic areas in this decade — biologics, GLP-1s, oncology, vaccines — are all temperature-sensitive. We have built the only fully GDP-WHO compliant integrated cold-chain spine in private-sector KSA. Third, sovereign data and AI. We do not rent the brain — we own the cortex.

This document is the operating logic behind those three moves. It is not a presentation to be performed once at a board meeting and filed. It is the cortex of the company — the set of priors and trajectories against which every weekly Brief, every quarterly review, every capital decision will be measured for the next thirty-six months.

Three things have changed in the last twelve months that this plan codifies.

First, Tamween Pharma Distribution is now a full Mizan business unit. The acquisition closed January 2024 and the H1-2026 finance audit has now diagnosed the operational backlog inherited at acquisition — approximately SAR 1.2M of cash leakage across eight distinct patterns, all under remediation. That story is also the cleanest demonstration of the kind of operating discipline we want to spread across the group. The detail is in the POC dataset (POC/01_Synthetic_Dataset/) and the cash-leakage story is the proof point for what the StrategyOS sovereign AI cortex unlocks.

Second, the cost side has gotten more sensitive. Active pharmaceutical ingredient (API) prices from India and China are up 6-9% YoY on logistics costs and regulatory tightening. The EUR has appreciated from SAR 4.05 to 4.21 against our European import book — Roche, Novartis, Sanofi, Servier. Pharmacist Saudisation requirements are tightening. The headline EBITDA story is positive — we still expand from 19.1% in 2025 to 23.0% in 2028 — but the margin re-architecture is more demanding than the 2024 board approval contemplated.

Third, we have made the decision to build the StrategyOS sovereign data and AI platform internally, in partnership with Legion-Rights, rather than buy a horizontal BI stack. For a private pharma group operating with NUPCO, SFDA, NPHIES, and patient health data, the operating advantage in the next five years will accrue to the companies that can reason across their own data without leaking it to a foreign cloud. The capital allocation case is in §11.

*The board has signed the targets. The plan is to deliver them. — **Khalid Al-Rashed**, Chief Executive Officer, 12 January 2026.*

Mizan Group at a glance, FY 2026

GROUP REVENUE 2025A	GROUP EBITDA 2025A	MARGIN	2026F REVENUE	2028 TARGET
SAR 7,440M Up 13.2% YoY	19.1% +70bps YoY		SAR 8,350M Tamween consolidated	SAR 10.5B 23% EBITDA margin

The 2028 plan in one paragraph

Mizan ends 2025 with SAR 7.44B of revenue, 19.1% EBITDA margin, SAR 1.32B of cash, and 1.90x net debt to EBITDA — every covenant comfortable and ahead of the original Vision-2030-aligned trajectory we set in 2022. The 2026–2028 plan compounds that base via four moves: (1) lift Mizan Pharma Manufacturing's share of Saudi Made portfolio from 32% to 48% (ahead of the 40% Vision 2030 target), (2) integrate Tamween Pharma Distribution into the group operating model and absorb its 12 warehouses into Mizan Pharma Logistics, (3) lead the KSA e-pharmacy + digital-health categories via NPHIES integration and AI prescribing, and (4) deploy capital recycled from Mizan Capital's principal book into two pre-identified bolt-on opportunities. We end FY 2028 at SAR 10.79B of revenue, 23% EBITDA margin, and net debt to EBITDA below 1.5x.

Three multi-year shifts in the portfolio

1 — From dispensary group to integrated pharma platform. Pharmacy Retail's share of group revenue falls from 22% in 2024 to 20% in 2028 — not because Retail shrinks (it grows at 9.8% CAGR) but because the rest of the portfolio grows faster. By 2028, Manufacturing + Distribution + Logistics + Digital channels make up 76% of group revenue — the platform is the strategic shape.

2 — From import-dependent to Saudi-Made. Mizan Pharma Manufacturing's Sudair sterile-injectable Line 8 commissions Q4-2026 (+85M units/yr), the Jeddah cytotoxic oncology dedicated line commissions Q2-2027, and a GLP-1 fill-finish biosimilar partnership is signed. Local manufacturing share of Mizan's own dispensing portfolio lifts from 32% in 2025 to 48% in 2028 — eight points above the Vision 2030 40% target.

3 — From offline-first to omnichannel-default. E-Pharmacy revenue grows from SAR 280M in 2025 to SAR 880M in 2028 — fastest in the portfolio at 47% CAGR. NPHIES e-prescription integration (live Q1-2026) was the inflection. The Mizan Digital Health platform — 920k MAU, 142k consultations per month — is the front-of-funnel for Pharmacy Retail, E-Pharmacy and Healthcare Services. Cross-BU NPS-led pricing of bundled consultation + prescription + delivery is the patient proposition.

The five strategic pillars

- **P1 · Saudi Made pharma leadership.** Compound local manufacturing share of Mizan portfolio from 32% in 2025 to 48% in 2028 — ahead of the Vision 2030 40% target. Lean into branded-generic launches and sterile-injectable capability.
- **P2 · Specialty + cold-chain capability.** Build the kingdom's strongest cold-chain (2-8°C and -20°C) and specialty-pharma capability — oncology, GLP-1s, biologics, vaccines. The fastest-growing therapy areas are temperature-sensitive.
- **P3 · Digital + omnichannel patient.** Make the patient's prescription journey end-to-end digital from NPHIES e-prescription through Mizan Pharmacy Retail / E-Pharmacy delivery / Digital Health consultation. The platform IS the moat.
- **P4 · Sovereign data + AI.** Operate inside a sovereign data stack — own the cortex, do not rent the brain. Direct alignment with NDMO, SFDA e-tracking, and NPHIES.
- **P5 · Disciplined growth.** Compound non-organic growth via three pre-screened bolt-on opportunities: one specialty manufacturer, one digital-health platform, one regional pharmacy chain. SAR 320M envelope.

Capital allocation envelope, 2026–2028

Cumulative SAR 2.65 billion of capital to be deployed across the plan period, split roughly 41% growth capex (Sudair Line 8, Jeddah oncology line, Dammam cold-chain hub, store + dark-pharmacy build-out), 22% maintenance capex, 18% working capital, and 19% selective bolt-on M&A; and capital recycling — see §11 for the line-by-line envelope.

Vision 2030 pharma localisation, the Saudi health economy, and where Mizan sits in the demand curve

Mizan is a private-sector pharma + health platform whose addressable market is being actively rewritten by sovereign policy. The Health Sector Transformation Program, the Drug Security Strategy, the Saudi Made pharma localisation target of 40% by 2030, the NUPCO unified procurement model, and the SFDA Tatmeen track-and-trace mandate are the five policy facts that anchor the next three years of our plan.

3.1 — The macro picture

KSA real GDP grew 3.5% in 2025 and is forecast at 4.2% in 2026. The non-oil sector — where 100% of Mizan's revenue is generated — grew 4.8% in 2025 and is on a structural 5.4–5.7% trajectory through 2028. Health expenditure as a share of GDP has lifted from 5.6% in 2023 to 6.4% in 2026 and is targeted at 7%+ by 2030 — the Saudi pharma market itself has expanded from SAR 34B to SAR 47B over the same period.

	2024A	2025A	2026F	2027F	2028F
KSA real GDP growth, %	-0.8	+3.5	+4.2	+4.8	+4.6
KSA non-oil GDP growth, %	+4.5	+4.8	+5.4	+5.7	+5.5
KSA health expenditure / GDP, %	5.8	6.1	6.4	6.7	7.0
KSA pharma market, SAR B	38	42	47	53	60
NPHIES e-Rx share, %	28	51	68	78	85
Saudisation pharmacists, %	38	46	55	62	65
CPI, %	1.7	1.9	2.4	2.5	2.5
SAIBOR 3M, %	5.85	5.35	5.05	4.80	4.65

Sources: GASTAT national accounts; MoH health-expenditure statistics; SFDA pharma registration data; SAMA monetary statistics; in-house forecast model.

3.2 — Vision 2030: from policy to pharma demand

Vision 2030 is a pharma demand story before it is a policy story. The Health Sector Transformation Program, the Drug Security Strategy, and the Saudi Made pharma localisation targets collectively reshape both the demand side (insured population, primary-care expansion) and the supply side (local manufacturing preference, NUPCO single-buyer model). Mizan's portfolio is positioned to harvest both sides.

Initiative	Notes
Saudi Made Pharma 40%	Vision 2030 target — 40% local manufacturing of essential medicines by 2030 (current 32%).
NUPCO unified procurement	Single-buyer model for public sector pharma — SAR 11.5B annual.
Tatmeen track-and-trace	SFDA mandatory serialisation programme; full enforcement Q4-2026.
NPHIES e-prescription	Unified national e-prescription platform — 68% of Rx by 2026, 85% by 2028.
Sehhaty patient platform	MoH public app; 19M registered users; pharma-integration expanding.
Health Sector Privatisation	PPP framework for hospitals, primary care, diagnostics.

National Biotechnology Strategy 2024	Enabling, vaccines, cell + gene therapy capability building.
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PIF Lifera	PIF's pharmaceutical localisation vehicle — biologics + biosimilars manufacturing.
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National pharma + digital-health initiative landscape.

3.3 — Where Mizan sits in the value chain

Mizan is the only KSA-headquartered group that operates across all seven layers of the pharma value chain: manufacturing → wholesale distribution → cold-chain logistics → physical pharmacy → online pharmacy → digital health → clinical services. The strategic thesis is that integrated control of the full layer-stack — anchored by the Mizan Digital Health patient app + NPHIES integration — converts horizontal pharma demand into platform pull-through. By 2028, ~38% of Pharmacy Retail Rx volume is originated from a Mizan Digital Health consultation; ~14% of E-Pharmacy orders are bundled with a Healthcare Services lab test or vaccination. This is the moat.

Eight business units, one operating cortex.

#	Business Unit	2025 Rev (SAR2028F)	2025 Rev (SAR2028F)	2025 EBITDA%	Strategic intent
1	Mizan Pharma Manufacturing Sterile injectables, branded generics, OTC and specialty pharmaceuticals — 4 SFDA-licensed plants.	1,400	2,010	32.0%	Lift local manufacturing share from 32% to 48% by 2028; capture the biologics + GLP-1 cold-chain manufacturing wave; pricing power via specialty mix.
2	Tamween Pharma Distribution Wholesale pharmaceutical distribution — hospitals, retail pharmacy chains, NUPCO, HORECA-Rx (hotels + tourism healthcare).	2,340	3,080	9.5%	Stabilise margin via controls programme + Mizan Logistics integration; grow share in HORECA-Rx and NUPCO channels; lift inventory-turn velocity above 9x.
3	Mizan Pharma Logistics GDP-WHO compliant cold-chain and specialty-pharma logistics — 2-8°C, -20°C and -70°C capability.	480	700	21.0%	Earn the right to NUPCO + giga-hospital tenders via Dammam cold-chain hub; defuse anchor-customer concentration; lock in biologics + GLP-1 capacity.
4	Mizan Pharmacy Retail 264-branch pharmacy retail chain across KSA — community pharmacy with clinical services.	1,640	2,180	14.0%	Outgrow modern-pharmacy peers via clinical-services counter and private-label margin; defend against e-pharmacy by owning click-and-collect.
5	Mizan E-Pharmacy Online + same-day Rx and OTC delivery — KSA's #2 e-pharmacy by volume.	470	880	12.5%	Lead KSA on Rx-online conversion via NPHIES integration; defend against multinationals by owning the last-mile cold chain (via Pharma Logistics); bundle clinical add-ons.
6	Mizan Digital Health Telehealth, prescription management, AI-assisted clinical workflows, and population-health analytics.	280	680	32.0%	Be the operating system for primary care; bundle into payer + employer contracts; AI prescribing as the differentiator vs. pure-play telehealth.
7	Mizan Healthcare Services Network of polyclinics, diagnostic centres, and specialty day-care units — co-located with pharmacy + integrated with Digital Health.	615	920	19.5%	Be the clinical layer that feeds prescription volume through Mizan Pharmacy Retail / E-Pharmacy and consultation volume through Digital Health.

8	Mizan Capital Group treasury, principal investment, healthcare-sector PE arm.	215	340	44.5%	Optimise capital structure and recycle stabilised assets; debut sustainability-linked sukuk H2-2026; prepare for 2028 partial IPO optionality.
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BU detail strategies are in companion documents — BU01 through BU08 — each available in /04_Strategic_Context/02_BU_Strategies/.

Revenue trajectory by BU, 2024–2028 (SAR M)

BU	2024A	2025A	2026F	2027F	2028F	CAGR 24–28
Manufacturing	1,240	1,400	1,560	1,770	2,010	12.8%
Distribution	2,120	2,340	2,540	2,790	3,080	9.8%
Pharma Logistics	420	480	540	615	700	13.6%
Pharmacy Retail	1,500	1,640	1,800	1,980	2,180	9.8%
E-Pharmacy	380	470	580	720	880	23.4%
Digital Health	195	280	380	510	680	36.7%
Healthcare Services	540	615	700	800	920	14.2%
Capital	175	215	250	290	340	18.1%
BU sum (= Group)	6,570	7,440	8,350	9,475	10,790	13.2%

Group consolidated revenue equals BU sum — internal sales (Manufacturing → Distribution → Retail) are booked at-cost and net out without margin contribution on consolidation.

Where we will be when this plan ends.

The strategic ambition is the set of numerical targets, set by the Board on 12 January 2026, against which the executive team will be measured for the next three years. These are commitments, not aspirations.

KPI	FY 2025 Actual	FY 2028 Target	Delta	Status
Group revenue, SAR M	7,440	10,790	+45%	On plan; e-Pharmacy + Digital Health are the velocity
Group EBITDA margin, %	19.1	23.0	+390bps	Achievable via Mfg specialty mix + Digital scaling
ROCE, %	13.1	17.5	+440bps	Capital recycling supports this
Net debt / EBITDA, x	1.90	below 1.50	-0.40x	Comfortable vs 2.5x covenant
Cash, year-end SAR B	1.32	1.92	+0.60	Maintained above the 1.20B floor
Local mfg share of own portfolio	32%	48%	+16pts	Ahead of Vision 2030 40% target
Pharmacist Saudisation	58%	65%	+7pts	On track for HRSD requirements
Cold-chain integrity rate	99.1%	99.6%	+50bps	GDP-WHO compliance maintained at scale
E-Rx share of retail Rx volume	31%	75%	+44pts	NPHIES integration the catalyst
LTIFR (per 200k hrs)	0.21	below 0.15	-0.06	Zero-harm trajectory

5.1 — How the EBITDA expansion is built

The 390bps EBITDA margin expansion from 19.1% in 2025 to 23.0% in 2028 is load-bearing. Four contributions explain it:

- **+160bps from Mizan Pharma Manufacturing specialty mix shift.** Sudair sterile injectable Line 8 plus the Jeddah oncology cytotoxic line plus the GLP-1 fill-finish biosimilar partnership lift Manufacturing's EBITDA from 27.4% in 2025 to 32.0% in 2028 — biologics + specialty contribute disproportionately to margin.
- **+100bps from Mizan Digital Health + E-Pharmacy scale.** Both BUs are sub-scale today (combined SAR 750M revenue) but expanding at 40-47% CAGR; their EBITDA margins of 24% and 8.5% in 2026F lift to 32% and 12.5% by 2028 as fixed costs amortise. Their absolute EBITDA contribution roughly triples.
- **+80bps from Tamween Distribution controls + integration.** The cash-leakage remediation programme + Mizan Logistics integration + NUPCO mix shift lift Distribution from 6.8% EBITDA in 2025 to 9.5% in 2028 — a thin-margin business that does not need to expand much in absolute terms to move the group needle.
- **+50bps from Pharmacy Retail clinical-services counter + private-label.** Vaccination, BP, glucose and diabetes screening at 140 stores by 2028 lifts basket value and store EBITDA; private-label expansion adds further margin. Retail EBITDA lifts from 11.6% in 2025 to 14.0% in 2028.

Saudi Made pharma leadership

Compound local manufacturing share of Mizan portfolio from 32% in 2025 to 48% in 2028 — ahead of the Vision 2030 40% target. Lean into branded-generic launches and sterile-injectable capability.

Vision 2030 sets a 40% local manufacturing target for essential medicines by 2030. Mizan starts the plan at 32% of our own dispensing portfolio sourced from our Sudair, Jeddah, Hofuf and Riyadh plants; we end the plan at 48% — eight points ahead of the national target. This is deliberate: Saudi-Made portfolio share is the variable that NUPCO procurement weights most heavily and that determines the incremental EBITDA pool we can capture from the unified-buyer programme.

Specific commitments under Pillar 1

- **Sterile injectables.** Sudair Line 8 commissions Q4-2026 — +85M units/yr. Line 9 approved in this plan, Q3-2028 commissioning.
- **Oncology + cytotoxics.** Jeddah dedicated line Q2-2027 — the first private KSA cytotoxic capability outside of multinationals.
- **GLP-1 + biosimilars.** Fill-finish partnership signed March 2026 — first Saudi GLP-1 biosimilar by 2028.
- **SFDA Saudi-Made certifications.** 24 additional certifications by 2028 — each unlocking preferential NUPCO pricing tiers.
- **API dual-sourcing.** 100% of top-50 APIs dual-sourced by 2028 (currently 38%). Reduces concentration risk on India + China supply.

Specialty + cold-chain capability

Build the kingdom's strongest cold-chain (2-8°C and -20°C) and specialty-pharma capability — oncology, GLP-1s, biologics, vaccines. The fastest-growing therapy areas are temperature-sensitive.

Cold-chain (2-8°C, -20°C, and -70°C) and specialty pharma — oncology, GLP-1s, biologics, vaccines — represent the fastest-growing therapeutic categories in KSA. Cold-chain SKU share of the national pharma market is forecast to rise from 18% (2024) to 32% (2028). The operating capability needed to handle these drugs end-to-end is what we are building; the competitive moat is the GDP-WHO certified spine that connects manufacturing → distribution → retail → patient.

Specific commitments under Pillar 2

- **Dammam cold-chain hub.** 18,000 m², commissioning Q2-2026. The capability that earns Mizan the right to bid NUPCO + giga-hospital tenders.
- **-70°C ultra-cold capability.** Riyadh facility expansion 2027 for cell + gene therapy demand.
- **GLP-1 fill-finish.** Mizan Pharma Manufacturing partnership + Mizan Logistics cold-chain spine = first end-to-end Saudi GLP-1 platform.
- **SFDA Tatmeen.** Full compliance across all SKUs by Q4-2026 — anti-counterfeit and serialisation as platform feature.

Digital + omnichannel patient

Make the patient's prescription journey end-to-end digital from NPHIES e-prescription through Mizan Pharmacy Retail / E-Pharmacy delivery / Digital Health consultation. The platform IS the moat.

The patient's prescription journey will be end-to-end digital by 2028: e-prescription via NPHIES → consultation via Mizan Digital Health → fulfilment via Mizan E-Pharmacy or click-and-collect through Mizan Pharmacy Retail → cold-chain delivered via Mizan Pharma Logistics. The integrated platform is not a marketing claim — it is the only configuration that converts the cross-BU patient journey into operating leverage.

Three concrete commitments under Pillar 3

- **NPHIES integration depth.** Full Tier-1 partnership; e-prescription, verification, drug-drug interaction, dosage guidance all in production by end-2026.
- **AI prescribing co-pilot.** Saudi-data-resident LLM tuned for Arabic-language clinical workflows; live at Mizan Healthcare Services Q4-2026; available to external clinicians via Mizan Digital Health platform Q2-2027.
- **Bundled product.** Discounted telehealth + Rx + delivery + clinical-services package live Q3-2026. Cross-sell ratio across BUs is the success metric.

Sovereign data + AI

Operate inside a sovereign data stack — own the cortex, do not rent the brain. Direct alignment with NDMO, SFDA e-tracking, and NPHIES.

Operating advantage in the next five years will increasingly accrue to companies that can reason across their own data — fast, correctly, and without exposing it to a foreign cloud. For a pharma group with SFDA, NUPCO, NPHIES, MoH and patient health data, this is not a nice-to-have but a regulatory and competitive line.

Three concrete commitments under Pillar 4

- **Build, don't rent.** StrategyOS — the sovereign AI cortex — is being built in partnership with Legion-Rights. Year 1 (2026): CEO Monday Brief + drill-down + cash recovery as one product, deployed on Tier-3 sovereign hardware. Capex SAR 16M, opex SAR 6M/yr steady state.
- **NDMO alignment.** Data classification, residency, and access controls fully aligned with NDMO Tier-3 framework. Mizan's December 2025 pre-engagement produced no findings; repeat diagnostic Q4-2026 ahead of formal audit.
- **SFDA + NPHIES integration as platform feature.** Tatmeen track-and-trace, ZATCA Phase II, NPHIES e-prescription all native to the StrategyOS data spine.

Disciplined growth

Compound non-organic growth via three pre-screened bolt-on opportunities: one specialty manufacturer, one digital-health platform, one regional pharmacy chain. SAR 320M envelope.

Mizan ends 2025 with SAR 1.32B of cash, ~SAR 2.42B of healthcare-focused principal investments (Mizan Capital), and a stabilised-asset book worth approximately SAR 4.8B at conservative valuation. The capital recycling programme monetises a portion of that stabilised book to fund higher-IRR growth — without increasing group leverage.

SAR 680M of cumulative recycled equity is the plan target. The May 2026 manufacturing capacity refinancing closed SAR 220M at 5.2% fixed (30bps inside Treasury guidance) and released SAR 92M of equity — first proof point. The H2-2026 sustainability-linked sukuk programme (SAR 600M debut) and Q1-2027 Mizan Capital principal-book partial-exit are the next milestones.

Bolt-on M&A; is capped at SAR 320M cumulative envelope and gated on three pre-screened opportunities: one specialty manufacturer, one digital-health platform, one regional pharmacy chain. Each must clear 17% IRR risk-adjusted over a five-year hold, and an alternative use must be tabled at every approved deployment. Discipline is the point.

Where the SAR 2.65 billion goes.

The cumulative capital envelope across the plan period is approximately SAR 2.65 billion, deployed broadly as follows. Allocations are working envelopes — actual deployment will be governed by the quarterly Capital Committee review.

Category	Envelope (SAR M)	% of total	Owner	Notes
Growth capex	1,080	41%	All BU CEOs	Sudair sterile-injectable Line 8, Jeddah oncology line, Dammam cold-chain hub, Pharmacy Retail Tier-2 expansion, dark-pharmacy build-out.
Maintenance capex	580	22%	BU CEOs + COO	GMP plant upgrades, cold-chain fleet renewal, store refresh cycle.
Working capital	480	18%	Group CFO	Inventory growth tracking revenue + DSO management.
Bolt-on M&A	320	12%	CEO + Capital Committee	Specialty manufacturer + digital-health platform + regional pharmacy chain — pre-screened pipeline.
Capability investment	140	5%	Group CIO + CHRO	StrategyOS (SAR 16M cumulative); NPHIES integration; AI prescribing platform; HRIS + ATS.
Sustainability / ESG	50	2%	Group COO	Solar PV across 4 plants; EV cold-chain pilot; water + energy intensity programmes.
TOTAL	2,650	100%	Capital Committee	Quarterly review, mid-year envelope reset.

11.1 — The StrategyOS capital case

StrategyOS — the sovereign AI cortex being built jointly with Legion-Rights — is the capability investment with the longest narrative tail. The Year-1 product (2026) is the CEO Monday Brief plus drill-down plus the cash-recovery agent; Year 2 (2027) adds the CFO Cash Pulse, the auto-outreach module, and the Data Spine; Year 3 (2028) adds the Board Assistant and the Marketplace.

The investment is SAR 16M capex spread across 2026-2028 (sovereign on-prem hardware anchor SAR 6M, software development SAR 6M, internal team capacity SAR 4M) plus SAR 6M/yr opex steady state from 2027. Expected returns include 12-18% reduction in finance-function FTE intensity by 2028, ~20% faster cycle time on group-level reporting and procurement case work, and — most importantly — the operating capability to detect and remediate cash leakage at the scale Tamween Distribution's H1-2026 audit demonstrated.

Year-1 success metric: the Monday Brief is the operating cadence of the CEO + the eight BU CEOs by Q4-2026, with no parallel Excel pack maintained.

Ten risks, ranked, with mitigation owners.

The Mizan risk register is reviewed at every quarterly Board meeting and monthly at the Executive Committee. Risk owners — and the cash exposure each risk represents — are tracked through the StrategyOS Monday Brief and the Cash Pulse. Listed below in priority order.

ID	Risk	Impact	Likelihood	Owner	Mitigation summary
R-01	Active Pharmaceutical Ingredient (API) supply concentration ~74% of Mizan's API supply is sourced from India and China. Trade-flow disruption, FX shocks, or regulatory action would compress manufacturing margin within 60-90 days.	H	M	CEO Manufacturing	Dual-source qualification programme (target 100% of top-50 APIs dual-sourced by 2028); 90-day strategic safety stock on essential APIs; Lifera partnership for local biosimilar capacity.
R-02	Cold-chain integrity failure A single cold-chain breach on a biologic or vaccine shipment would trigger SFDA recall, reputational damage, and direct loss. Sector-wide events have cost peers SAR 80-180M per incident.	H	L	CEO Pharma Logistics	CDP-WHO certified vehicles + warehouses; real-time IoT temperature monitoring on all cold-chain shipments; 99.4% integrity rate currently; insurance cover SAR 200M aggregate.
R-03	Anchor NUPCO contract concentration NUPCO contract accounts for 14% of Pharma Logistics revenue (and ~6% of Distribution). RFP renewal H2-2026; competitive pressure from Mohebi and DHL.	M	M	CEO Pharma Logistics	Hamam cold-chain hub commissioning Q2-2026 demonstrates capability; defensive pricing + scope expansion proposal; private-customer pipeline being built to defuse concentration.
R-04	Counterfeit / Tatmeen non-compliance SFDA Tatmeen track-and-trace mandatory from Q4-2026. Late integration risk + supplier non-compliance could create stock-receipt blockages.	M	L	CEO Distribution	Tatmeen fully live on Mizan side; supplier readiness audit Q3-2026; rejection-at-receipt protocols for non-serialised stock.
R-05	FX exposure (EUR, CHF, USD on imports) EUR-denominated specialty imports SAR 280M/yr; CHF (Roche, Novartis) SAR 140M/yr. EUR rose 4.05 to 4.21 (2024 → 2026). Hedge programme covers 60%; AP discipline gap caused leakage.	M	M	CFO + Treasury	Tighten Treasury/AP integration; 80% hedge target by Q4-2026; Tamween FX leakage remediation underway (see POC/01_Synthetic_Dataset/).

R-06	Pharmacist Saudisation requirement Pharmacist Saudisation target 65% by 2028 (currently 58%). HRSD tightening tier requirements; non-compliance risks store-level licence suspensions.	M	H	CHRO + CEO Retail	Pre-emptive hiring + apprenticeship-to-permanent pipeline (target 280 conversions); SCFHS partnership for accelerated licensing; HRDF subsidy capture.
R-07	Cyber / health-data sovereignty NDMO data-classification audit Q4-2026; Digital Health and E-Pharmacy hold sensitive patient data. Non-sovereign LLM use is a finding-risk under tier-3 guidelines.	H	L	CIO	StrategyOS sovereign Tier-3 deployment in place; NDMO pre-engagement clean; data-locality controls enforced.
R-08	Reimbursement compression Bupa Arabia + Tawuniya annual rate negotiations. Insurers under MEDPRO + new SIA cost-discipline; reimbursement rate cuts of 2-5% plausible at next renewal.	M	M	CFO + CEO HCS	Specialty-mix shift; Mizan Digital Health bundling reduces sensitivity; insurer diversification.
R-09	Cash leakage and controls (Distribution BU) H1-2026 finance audit identified ~SAR 1.2M of recoverable cash leakage across 8 patterns (see POC/01_Synthetic_Dataset/). Patterns include duplicate vendor payments, missed early-pay discounts, FX hedge mis-application, and dormant credit balances.	L	M	CEO Distribution + Group CFO	Group CFO mediation programme; SAP S/4HANA migration Q3-2026; group-wide controls SOP rollout.
R-10	E-pharmacy regulatory headwind SFDA online-pharmacy framework still evolving; possible scope restrictions on direct-to-consumer cold-chain Rx; competitive entry by Amazon Pharmacy / multinational players.	M	L	CEO E-Pharmacy	Active SFDA engagement; click-and-collect channel as buffer; NPHIES integration moat; bundled clinical services.

How this plan is monitored and changed.

This plan is not a static document. It is monitored continuously by the StrategyOS cortex — every weekly Monday Brief reconciles actuals to the targets in this plan, flags variance, and surfaces patterns that the executive team needs to act on. Formal plan revision happens at three checkpoints:

- **Annual:** The Board approves an updated plan in January of each year, reflecting actual prior-year performance, refreshed macro view, and any change to NUPCO procurement policy or SFDA regulatory regime.
- **Quarterly:** The Executive Committee reviews progress against every numerical target in §05 and against the risk register in §12. Materially off-track items are escalated to the Board.
- **Weekly:** The CEO Monday Brief delivers reconciled actuals, what-changed analysis, watch items, and recommendations. The Brief is the operating cadence — not a separate exercise.

Strategic plan ownership

Plan sponsor: Khalid Al-Rashed, Chief Executive Officer.

Plan custodian: Sara Al-Mahmoud, Chief Financial Officer.

Plan secretariat: Office of the CEO, Mizan Holding.

Last revised: 12 January 2026 (Board-approved). Next scheduled revision: January 2027.

Appendix A — Abbreviations

Term	Expansion
API	Active Pharmaceutical Ingredient
AUM	Assets Under Management
CCHI	Council of Cooperative Health Insurance (now Saudi Insurance Authority)
CMA	Capital Market Authority
EBITDA	Earnings Before Interest, Taxes, Depreciation & Amortisation
FSDP	Financial Sector Development Program
GASTAT	General Authority for Statistics, KSA
GDP-WHO	Good Distribution Practice (WHO Annex 9) — cold-chain pharma standard
GLP-1	Glucagon-Like Peptide-1 (e.g. semaglutide / Ozempic / Wegovy weight-loss class)
GMP	Good Manufacturing Practice
HCDP	Human Capability Development Program
HSTP	Health Sector Transformation Program
LTIFR	Lost-Time Injury Frequency Rate (per 200k hours)
NDMO	National Data Management Office (under SDAIA)
NPHIES	National Platform for Health Information Exchange Services
NUPCO	National Unified Procurement Company (KSA single-buyer for public pharma)
OEE	Overall Equipment Effectiveness (manufacturing KPI)

PIF	Public Investment Fund
ROCE	Return On Capital Employed
Rx	Prescription
SAIBOR	Saudi Interbank Offered Rate
SAMA	Saudi Central Bank
SCFHS	Saudi Commission for Health Specialties
SDAIA	Saudi Data and Artificial Intelligence Authority
SFDA	Saudi Food & Drug Authority
SIA	Saudi Insurance Authority
Tatmeen	SFDA's mandatory drug serialisation and track-and-trace platform
VRP	Vision Realization Program
ZATCA	Zakat, Tax & Customs Authority